CASCADIA ANALYTICS

INVESTMENT SCORECARD

# EQIX

Equinix, Inc. (NASDAQ)

As-of: 2026-10-18 | Latest Filing: 10-Q Q2 2026 | Currency: USD

$985.98 [Yahoo 18-Oct-26]

Market Cap: $97.3B [Yahoo 18-Oct-26]

## Attractiveness Score




Confidence: **High** (0 pillars excluded)

## Pillar Breakdown

### 1. Operating Quality — 85

Recurring interconnection revenue with ~51% adjusted EBITDA margin guidance, very low churn from high switching costs, and a network-effects moat deepened by data center moratoriums creating a scarcity premium.

### 2. Recent Trend — 80

Q2 2026 revenue $2.63B (+16% YoY), AFFO per share $11.78 (+19%), annualized gross bookings $423M (+23%), full-year guidance raised twice, and a 10% dividend increase to $5.16 quarterly.

### 3. Forward Growth — 78

AI inference workloads favor distributed, interconnection-rich footprints over AI factories; management notes ~60% of largest recent deals are AI-tied. Base-case 8% revenue CAGR with pricing power on cross-connects.

### 4. Valuation — 62

DCF base target $1,014.08 and blended $1,015.61 imply +3.1% upside at the $985.98 reference price, inside the plus/minus 10% Hold band. Fairly valued on an AFFO basis with terminal value carrying most of the equity value.

### 5. Catalysts & Risk — 68

Near-term catalyst is Q3 2026 results on Oct 28 (consensus ~$2.57B revenue); continued AI-inference deal flow and dividend growth support. Risks: rate sensitivity as a REIT, power constraints

on expansion, 4.3x net debt/EBITDA leverage.

## Investment Thesis

- **Interconnection moat with pricing power:** Equinix is the critical internet exchange point where networks meet. Power constraints and data center moratoriums make competing hubs harder to build, turning existing campuses into indispensable assets that support a scarcity premium on cross-connects and cabinet space.
- **Recurring revenue machine:** Revenue is highly recurring, driven by space, power, and interconnection fees with historically very low churn. MRR per cabinet and interconnection adds compound steadily, and Q2 2026 bookings accelerated 23% YoY on AI inference demand.
- **Fairly valued at the reference price:** Our REIT AFFO-based DCF values Equinix at $1,014.08 per share in the base case (8% revenue CAGR, 51% EBITDA margin), with a probability-blended target of $1,015.61, roughly 3% above the $985.98 reference price. That lands inside our Hold band, not the strong-buy $1,050 research estimate.

## Key Operating Metrics

| Metric | Latest | YoY Change | 3Y Trend |
|---|---|---|---|
| Q2 2026 revenue | $2.63B [Q2 2026 PR] | +16% YoY [Q2 2026 PR] | Accelerating |
| AFFO per share (Q2) | $11.78 [Q2 2026 PR] | +19% YoY [Q2 2026 PR] | Up |
| Adj. EBITDA margin (FY26E) | 51.1% [Co. guide] | +2pp vs FY25 [Yahoo/Co. guide] | Expanding |
| Quarterly dividend | $5.16 [Co. PR] | +10% raise [Co. PR] | Up |
| Net debt / EBITDA | ~4.3x [Yahoo/Co. guide] | Stable | Flat |
| Ann. gross bookings (Q2) | $423M [Q2 2026 PR] | +23% YoY [Q2 2026 PR] | Accelerating |

## Historical Financial Trend

| Metric | FY22 | FY23 | FY24 | FY25 | FY26E |
|---|---|---|---|---|---|
| Total revenue ($B) | 7.26 [Yahoo] | 8.19 [Yahoo] | 8.75 [Yahoo] | 9.22 [Yahoo] | 10.245 [Co. guide] |
| EBITDA ($B) | 2.92 [Yahoo] | 3.37 [Yahoo] | 3.44 [Yahoo] | 4.10 [Yahoo] | 5.24 adj. [Co. guide] |
| Diluted EPS ($) | 7.67 [Yahoo] | 10.31 [Yahoo] | 8.50 [Yahoo] | 13.76 [Yahoo] | N/A [] |
| Annual dividend ($/sh) | 12.08 [Co. PR] | 13.64 [Co. PR] | 17.04 [Co. PR] | 18.76 [Co. PR] | 20.64 [Co. PR] |

## Valuation

### Absolute (6/10)

REIT AFFO-based DCF: Bear $820.52 (5% CAGR, 48% margin), Base $1,014.08 (8% CAGR, 51% margin), Bull $1,213.77 (11% CAGR, 53% margin). Live cost of equity ~8.7% decaying to ~8.3% with beta 0.97 to 0.85. Blended $1,015.61 vs $985.98 spot = +3.1% upside, inside the Hold band.

### Versus Peers (6/8)

Digital Realty (DLR) trades at higher AFFO multiples on similar leverage; Iron Mountain at a premium P/E. Equinix's interconnection density and ~51% margins justify a premium to wholesale peers, already reflected in its market cap ranking as the largest data center REIT.

### Versus History (5/7)

Equinix has compounded revenue ~9% annually (FY22-FY25) with expanding margins. The blended target sits below the 52-week high of $1,128.68 and above the low of $720.62; the current price reflects roughly 7.3% implied 5-year growth per our reverse DCF, close to the base case.

## Catalyst Timeline

**28 Oct 2026** [Co. IR]
Q3 2026 results after the close; consensus ~$2.57B revenue. Management commentary on AI inference pipeline and bookings momentum is the key read.

**Ongoing** [Co. PR]
AI inference deal flow: nearly 60% of the largest

## Top Risk Factors (Item 1A)

**1. Rate sensitivity:** As a leveraged REIT, Equinix's valuation is sensitive to the 10Y Treasury (currently ~5.1%). Sustained higher rates raise the cost of equity and the cost of funding expansion capex. [Yahoo]

**2. Power and permitting constraints:** The same moratoriums that protect the moat can also limit Equinix's own expansion where grid capacity is

recent deals were AI-tied; continued enterprise AI agent adoption drives distributed low-latency demand.

**Quarterly** [Co. PR]
Dividend trajectory: 10% raise to $5.16 quarterly in 2026; sustained AFFO growth supports further increases.

## What Would Change Our Score

[{'text': 'Sustained bookings growth above 20% with cross-connect pricing power intact would support a Bull-case rerating toward $1,200+.'}, {'text': 'A sharp rise in the 10Y Treasury or a slowdown in AI-driven bookings would compress the cost-of-equity valuation toward the Bear case near $820.'}]

constrained, capping growth in the hottest markets. [Research]

**3. Leverage:** Net debt of ~$21B is ~4.3x FY26E adjusted EBITDA. Refinancing risk is muted by long-dated fixed-rate debt, but the leverage limits flexibility if growth disappoints. [Yahoo/Co. guide]

## Forward Growth Drivers

- Enterprise AI is moving from training to deployment; inference favors distributed, interconnection-rich campuses. Equinix reported ~60% of its largest recent deals tied to AI workloads, with annualized gross bookings up 23% in Q2 2026. [Co. PR]
- Power constraints and local moratoriums make new competing hubs hard to build, giving Equinix pricing power on cross-connects and cabinet MRR. Existing campuses become more valuable as supply is capped. [Research]
- Interconnection revenue is mission-critical and sticky; migrating physical routing gear is costly, producing very low churn and high revenue visibility. [Co. PR]
- The 10% dividend raise to $5.16 quarterly underscores management's confidence in AFFO durability; the REIT structure mandates distribution of taxable income, aligning payouts with cash generation. [Co. PR]

## Missing / Modified Data Log

- FY2026E figures use management's raised guidance (revenue $10.205-10.285B, adjusted EBITDA $5.210-5.270B) given with Q2 2026 results.
- Dividend history uses company-reported quarterly payouts; FY26E $20.64 annualized at the new $5.16 quarterly rate.
- EBITDA figures are GAAP from Yahoo Finance; the DCF uses adjusted EBITDA per company guidance.
- Net cash interest (~$550M) is an estimate netting capitalized interest and interest income; flagged as approximate in the model README.

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